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A Leap of Faith

THE BANK OF INDIA WAS founded in 1906 under the promotion of stalwarts like Sir Sassoon J. David, Sir Cowasji Jehangir (1st Baronet), Ratanji Dadabhoy Tata (J.R.D. Tata's father), Gordhandas Khatau, J.H. Dani, Lalubhai Samaldas, Khetsey Khiasey, Ramnarain Hurnandrai, and Noordin Ebrahim Noordin who became its first Directors. Though he never became a Director of the bank, Sir Shapurji Broacha, a wealthy businessman of Bombay, and a fast friend of Sir Sassoon, played an active part in its promotion. Bombay was then famous as a centre of the cotton industry and for its port. All the exchange banks were controlled by the Englishmen and Europeans and Indian businessmen found it difficult to raise finance for trade. Banks were not easily accessible to the middle and lower classes. It was at this time that Sir Sassoon J. David, a self-made wealthy mill owner and reportedly one the richest businessmen in India when he died in 1926, thought of setting up a bank under Indian ownership to encourage trade and provide finance to Indian merchants. Sir Sassoon sounded Cowasji Jehangir, if his father was interested in joining him in the venture. When told about it, his father, Sir Cowasji Jehangir, 1st Baronet, did not hesitate. The rest, to use a well-worn cliché, is history.

The Bank of India was registered when the Swadeshi movement was catching the country's imagination. It was incorporated on September 7, 1906, with an authorized share capital of ₹1 crore divided into 1 lakh shares of ₹100 each. Of these 55,000 were privately applied for and 45,000 were offered for sale to the public in October 1906. The Bank commenced